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Case Number: 24STCV03101 Hearing Date: September 22, 2026 Dept: 1

Preliminary

Approval of Class Action Settlement

Department SSC-1

Garcia v. Povac Investments, Inc.

Case No.: 24STCV03101

Hearing: September 22,
2026

TENTATIVE RULING

The Court's

tentative ruling is to GRANT preliminary approval contingent on the parties addressing the following:

1.

Provide

information regarding any fee splitting agreement and whether the client has given written approval. (Mark v. Spencer (2008) 166 Cal.App.4th 219; Rules Prof. Conduct, rule 1.5.1; Cal. Rules of Court, rule 3.769

2.

Counsel

represents that prior to mediation, "Defendant informally produced timekeeping and payroll data for a sampling of the class." (Moore Decl., ¶18.) Counsel are

to provide additional information to show the sample was statistically significant.

3.

The escalator

clause at Settlement Agreement ¶7.8.5 provides Defendant with the option to “alter the end date of the Class Period and PAGA Period to a date before which the number of workweeks exceeds 19,110 (¶7.8.5) The parties must resolve any uncertainty regarding the Class and PAGA Period end dates prior to preliminary approval being granted and notice being distributed. Based on current records, the parties and the administrator must review and verify the workweek total and confirm the end dates of the Class and PAGA Periods), revise the Class and PAGA Period definitions (¶¶1.12; 1.31), and remove the period-shortening option from the escalator clause. Ensure that the notice is modified to match any alterations to the Settlement Agreement.

4.

Scope of the

Release: the release in ¶¶5.2-5.3 is overbroad:

a.

Class Members

should not release claims ascertained in the Court of the Action, unless those claims were also asserted in the Operative Complaint, i.e., Class Members should only release claims which were alleged or reasonably could have been alleged in the Operative Complaint. Revise ¶5.2 accordingly.

b.

Aggrieved

Employees should not release claims ascertained in the Court of the Action, unless those claims were also asserted in the Operative Complaint, i.e., Aggrieved Employees should only release PAGA claims which were alleged or reasonably could have been alleged in the Operative Complaint AND the PAGA Notice. Revise ¶5.3 accordingly.

c.

Currently 5.3 is

worded so that the “claims released include, without limitation: (i) failure to pay all...” Section ¶5.3 needs to be revised to make it clear that the “claims for PAGA penalties released include, without limitation:

(i) failure to pay....”

5.

Paragraph 10.1

contains typo “If, for any reason the Court does grant Preliminary Approval, Final Approval or enter Judgment, Defendants reserve the right to contest certification of any class for any reasons, and Defendants reserve all available defenses to the claims in the Action, and Plaintiff reserves the right to move for class certification on any grounds available and to contest Defendants' defenses.” (§10.1) This provision should be stated as “does not”.

6.

Contents of

Notice: The Notice should disclose the fee split and funding deadline.

The Court orders

the parties to submit supplemental briefing and supporting declarations as well as revised versions of the Settlement Agreement and Class Notice to address the Court's concerns. The parties are directed to submit the revised signed Settlement Agreement along with a red-lined copy showing all changes and a revised Class Notice with a red-lined copy showing the changes to the notice. Please ensure that all revisions of the Settlement Agreement are properly incorporated into the revised Class Notice. Also review the proposed Order, revise it to conform to the final settlement terms, and file the revised proposed Order with the Court.

All supplemental

papers are due to be filed by _____. The Court sets a non-appearance case review for _____ to review the supplemental papers. The motion for final approval of settlement is scheduled for _____ at 10:30 a.m. in Department

1.

BACKGROUND

This is a wage and hour class action. Defendant is in the construction industry. Plaintiff Garcia, a former, non-exempt employee, worked for Defendant from approximately 2021 through approximately May 2023. During his employment, Plaintiff worked as a Cleaner. Plaintiff Ixen, a former non-exempt employee, was employed with Defendant as a Framer from

approximately 2012 through approximately 2023.

On February 6, 2024, Plaintiff Garcia commenced this Action by filing a Complaint alleging causes of action against Defendant for (i) failure to pay all overtime wages owed; (ii) failure to pay all minimum wages owed; (iii) failure to provide meal periods; (iv) failure to authorize and permit rest periods; (v) failure to provide accurate, itemized wage statements; (vi) failure to indemnify all necessary business expenditures; (vii) failure to pay all wages owed upon termination; and (viii) unfair competition.

Pursuant to Labor Code section 2699.3, subdivision (a), Plaintiff Garcia gave timely written notice to Defendant and the LWDA by sending the PAGA Notice. On April 12, 2024, Plaintiff Garcia filed a First Amended Complaint adding a cause of action for civil penalties under the PAGA.

On April 1, 2025, Plaintiff Garcia filed a Second Amended Complaint adding Edgar Ixen as a named plaintiff alleging that Defendant: (1) failed to pay all minimum wages owed; (2) failed to pay all overtime wages owed; (3) failed to provide meal periods; (4) failed to authorize and permit rest periods; (5) failed to provide accurate, itemized wage statements; (6) failed to indemnify all necessary business expenditures; (7) failed to pay all final wages owed upon termination; (8) engaged in unfair competition; and (9) is liable for civil penalties under the Private Attorneys General Act of 2004 ("PAGA").

Counsel represents that prior to mediation, Defendant informally produced timekeeping and payroll data for a sampling of the class, as well as its wage and hour policies and other relevant documents and information relevant to the claims alleged.

On December 3, 2025 the Parties participated in an all-day mediation with Michael Ludwig and, through further direct negotiations, reached an Agreement to settle the Action. A fully executed Settlement Agreement was filed with the court on May 8, 2026 attached to the Declaration of Milan Moore ("Moore Decl.") as Exhibit 2.

Now before the Court is Plaintiff's Motion for Preliminary Approval of the Settlement Agreement.

SETTLEMENT CLASS

DEFINITION

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"Class"

means all individuals who worked as non-exempt employees of Defendant Povac Investments, Inc. in California at any time during the Class Period. (Settlement Agreement, ¶1.5.)

o "Class Period" means

the period from May 16, 2021, to the date the Court grants Preliminary Approval, unless Defendant elects to select an earlier end date for the release pursuant to the escalator provision within this Agreement. (¶1.12)

.

"Aggrieved

Employee" means all individuals who worked as non-exempt employees of Defendant Povac Investments, Inc. in California at any time during the PAGA Period. (¶1.4)

o "PAGA Period" means the

period from February 6, 2023 to the date the Court grants Preliminary Approval, unless Defendant elects to select an earlier end date for the release pursuant to the escalator provision within this Agreement (¶1.31)

.

Based on a review of its records to date, Defendant estimates there are 354 Class Members who collectively worked a total of 19,110 Workweeks, and 187 Aggrieved Employees who collectively worked a total 4,995 of PAGA Pay Periods. (¶4.1)

.

The parties agree to conditional class certification for the purposes of settlement. (¶10.1)

o Paragraph 10.1 contains typo "If,

for any reason the Court does grant Preliminary Approval, Final Approval or enter Judgment, Defendants reserve the right to contest certification of any class for any reasons, and Defendants reserve all available defenses to the claims in the Action, and Plaintiff reserves the right to move for class

certification on any grounds available and to contest Defendants' defenses.”

(¶10.1) This provision should be stated as “does not”.

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

.

The Gross Settlement Amount (“GSA”) is \$397,500, non-reversionary. (¶3.1)

o Based on its records, Defendant estimates that, as of the date of this Settlement Agreement, (1) there are 354 Class Members and 19,110 Total Workweeks during the Class period and (2) there were 187 Aggrieved Employees who worked 4,955 Pay Periods during the PAGA Period. If the number of workweeks during the Class Period increases by more than 10% above 19,110 (i.e., if there are 21,022 or more workweeks during the Class Period), Defendant agrees to increase the Gross Settlement Amount on a proportional percentage basis (i.e., if there was a 11 % increase in the number workweeks during the Class Period, Defendant would agree to increase the Gross Settlement Amount by 11 %), or alternatively alter the end date of the Class Period and PAGA Period to a date before which the number of workweeks exceeds 19,110. (¶7.8.5)

Before the

Court can grant preliminary approval, it must know the exact scopes of the Class and PAGA Periods so the parties must calculate whether the escalator clause will be triggered. A declaration regarding this issue must be submitted to the Court.

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The Net Settlement Amount (“Net”) (\$194,125) is the GSA minus the following:

o Up to \$139,125 (35%) for attorney fees (¶3.2.1);

§ Fee Split:

o Up to \$25,000 for litigation costs (¶3.2.1);

o Up to \$15,000 for Service

Payments to the Named Plaintiffs (\$7,500 x 2) (¶3.2);

o Up to \$9,250 for

settlement administration costs (¶3.2.2); and

o Payment of \$15,000 (75% of

\$20,000 PAGA penalty) to the LWDA. (¶3.2.5)

.

Defendant will separately pay any and all employer payroll taxes owed on the Wage Portions of the Individual Class Payments. (¶3.1)

.

Funding of GSA: Defendant shall fully fund the Gross Settlement Amount, and also fund the amounts necessary to fully pay Defendant's share of payroll taxes by transmitting the funds to the Administrator no later than 14 days after the Effective Date. (¶4.3)

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Distribution of GSA: Within 14 days after Defendant funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the L WDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representatives Service Payments. Disbursement of the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment and the Class Representatives Service Payments shall not precede disbursement of Individual Class Payments and Individual PAGA Payments. (¶4.4)

.

There is no claim form requirement. (¶3.1)

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Participating Class Member

Payments: To Each Participating Class Member:

The Net Settlement Amount shall be divided by the total number of workweeks worked during the Class Period in order to establish the workweek amount. The workweek amount will then be multiplied by the number of workweeks attributable

to each Participating Class Member in order to determine the correct amount to be payable to each Participating Class Member. (§13.2.3) Effect of Non-Participating Class Members on Calculation of Individual Class Payments. Non-Participating Class Members will not receive any Individual Class Payments. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (§13.2.4.1)

o Tax

Allocation: 20%

as wages and 80% as interest and penalties. (§13.2.4.1)

.

PAGA Payments: The

Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties (\$5,000.00) by the total number of PAGA Period Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Period Pay Periods. (§13.2.4.1) If the

Court approves PAGA Penalties of less than the amount requested, the Administrator will allocate the remainder to the Net Settlement Amount. (§13.2.4.2)

o Tax

Allocation:

100% penalties. (Ibid.)

.

"Response

Deadline" means 60 days after the Administrator mails Notice to Class Members and the Aggrieved Employees, and shall be the last date on which Class Members may: (a) fax, email or mail Requests for Exclusion from the Settlement, or (b) fax, email or mail his, her, or their Objection to the Settlement. Class Members to whom Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional 14 calendar days beyond the Response Deadline has expired. (§11.43) The same deadlines apply to the submission of workweek disputes. (§17.6)

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Uncashed Settlement Checks: The

Administrator will cancel all checks not cashed by the void date (not less than one hundred eighty

(180) days after the date of mailing). (¶4.4.1) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of Code of Civil Procedure section 384, subdivision (b). (¶4.4.3)

The settlement administrator is Phoenix Class Action Administration Solutions. (¶1.2)

Plaintiff filed the proposed settlement agreement with the LWDA on May 21, 2026. (See POS to LWDA.)

Participating class members, the named Plaintiffs, and the Declarants will release certain claims against Defendants. (See further discussion below)

ANALYSIS OF SETTLEMENT AGREEMENT

1.
Does a presumption of fairness exist?

1.
Was the settlement reached through arm's-length bargaining? Yes. On December 3, 2025 the Parties participated in an all-day mediation presided over by Michael Ludwig which through further direct negotiations led to an Agreement to settle the Action. (Moore Decl., ¶9.)

2.
Were investigation and discovery sufficient to allow counsel and the court to act intelligently?
Yes. Counsel represents that prior to mediation, Defendant informally

produced timekeeping and payroll data for a sampling of the class, as well as its wage and hour policies and other relevant documents and information relevant to the claims allege. (Id. at ¶8.) Please provide information about the size of the sample and why it is representative of the settlement class.

3.

Is counsel

experienced in similar litigation? Yes. Class Counsel are experienced in class action litigation, including wage and hour class actions. (Id.

at ¶¶2-5; Declaration of Paul K. Haines ("Haines Decl."), ¶¶2-8; Declaration of Scott Lidman ("Lidman Decl."), ¶¶2-5; Declaration of Tiara Gose-Hardy ("Gose-Hardy Decl."), ¶¶2-3.)

4.

What percentage

of the class has objected? This cannot be determined until the fairness hearing.

See Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial

(The Rutter Group 2014) ¶ 14:139.18, ("Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.").

CONCLUSION: The settlement is entitled to a presumption of fairness.

2.

Is the settlement fair, adequate, and reasonable?

1.

Strength of

Plaintiff's case.

"The most important factor is the strength of the case for plaintiff on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.)

Counsel

has provided the following exposure analysis:

CLAIM

MAX EXPOSURE

REDUCED EXPOSURE

Unpaid Wages

\$0

\$0

Meal Period Premiums

\$651,808.00

\$179,247.20

Rest Period Premiums

\$2,813,300.00

\$295,396.50

Expenses

\$56,780.00

\$5,110.20

Wage Statement Penalties

\$350,450.00

\$36,797.25

Waiting Time Penalties

\$1,782,243.00

\$160,401.87

PAGA

\$499,500.00

\$124,875.00

TOTAL

\$6,154,081.00

\$801,828.02

(Moore Decl., ¶¶13-28.)

2. Risk,

expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk

of maintaining class action status through trial. Even if a class is certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th 1213, 1226 (“Our Supreme Court has recognized that trial courts should retain some flexibility in conducting class actions, which means, under suitable circumstances, entertaining successive motions on certification if the court subsequently discovers that the propriety of a class action is not appropriate.”).)

4. Amount offered in

settlement. Plaintiffs’ counsel obtained a \$397,500 non-reversionary settlement. This is approximately 6%-50% of the estimated recovery which, given the uncertain outcomes, is within the “ballpark of reasonableness.”

The \$397,500 settlement amount, after reduced by the requested deductions, leaves approximately \$194,125 to be divided among approximately 354 class members. Assuming full participation, the resulting payments will average approximately \$548.38 per class member. [$\$194,125/354 = \548.38 .]

5. Extent of discovery

completed and stage of the proceedings.

As indicated above, at the time of the settlement, Class Counsel appears to have conducted sufficient discovery, but the Court requires additional information about the size of the sample produced by Defendant and why it is considered to be representative of the settlement class.

6. Experience and views

of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, is experienced in class action litigation, including wage and hour class actions.

7. Presence

of a governmental participant. This factor is not applicable here.

8. Reaction

of the class members to the proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed "fair, adequate, and reasonable."

3.

Scope of the release

Effective

on the date when Defendant fully funds the entire Gross Settlement Amount and funds all employer payroll taxes owed on the Wage Portion of the Individual Class Payments, Plaintiffs, Class Members, and Class Counsel will release claims against all Released Parties as follows: (¶15)

.

All Participating Class Members, release Released Parties from (i) all claims that were alleged, or reasonably could have been alleged, based on the Class Period facts stated in the Operative Complaint, and/or ascertained in the course of the Action and which occurred during the Class

Period. The claims released include, without limitation: (i) failure to pay all overtime wages owed; (ii) failure to pay all minimum wages owed; (iii) failure to provide meal periods; (iv) failure to authorize and permit rest periods; (v) failure to provide accurate, itemized wage statements; (vi) failure to indemnify all necessary business expenditures; (vii) failure to pay all wages owed upon termination; and (viii) unfair competition. Except as set forth in Section 5.3 of this Agreement, Participating Class Members do not release any other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, unemployment insurance, disability, social security, workers' compensation or claims based on facts occurring outside the Class Period. (§5.2) [Class Members should only release claims which were alleged or reasonably could have been alleged based on the allegations in the Operative. Revise §5.2 accordingly.]

1.

All Aggrieved Employees release the Released Parties from all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the PAGA Period facts stated in the Operative Complaint and the PAGA Notice and/or ascertained in the course of the Action and which occurred during the PAGA Period. The claims released include, without limitation: (i) failure to pay all overtime wages owed; (ii) failure to pay all minimum wages owed; (iii) failure to provide meal periods; (iv) failure to authorize and permit rest periods; (v) failure to provide accurate, itemized wage statements; (vi) failure to indemnify all necessary business expenditures; (vii) failure to pay all wages owed upon termination; (viii) failure to pay all earned wages at least twice during each calendar month; and (ix) failure to maintain accurate records. (§5.3) Aggrieved Employees should only release claims which were alleged in the Operative Complaint AND the PAGA Notice or reasonably could have been alleged based on the allegations in the Operative Complaint and PAGA Notice. Revise §5.3 accordingly. Further, currently 5.3 is worded so that the "claims released include, without limitation: (i) failure to pay all..."however, §5.3 needs to be revised to make it clear that the "claims for PAGA penalties released include, without limitation: (i) failure to pay...."]

.

Named Plaintiff

will also provide a general release and CC § 1542 waiver. (§5.1)

4.

May conditional class certification be granted?

1.

Standards

A detailed analysis of the elements

required for class certification is not required, but it is advisable to review

each element when a class is being conditionally certified (*Amchem Products, Inc. v. Winsor* (1997)

521 U.S. 620, 622-627.) The trial court

can appropriately utilize a different standard to determine the propriety of a

settlement class as opposed to a litigation class certification. Specifically, a lesser standard of scrutiny

is used for settlement cases. (*Dunk* at 1807, fn 19.) Finally, the Court is under no “ironclad

requirement” to conduct an evidentiary hearing to consider whether the

prerequisites for class certification have been satisfied. (*Wershba* at 240.)

2.

Analysis

a.

Numerosity. There are approximately 354

class members. (*Moore Decl.*, ¶11.) This element is met.

b.

Ascertainability. The proposed class is

defined above. The class definition is “precise,

objective and presently ascertainable.”

(*Sevidal v. Target Corp.*

(2010) 189 Cal.App.4th 905, 919.) The class members are identifiable from

Defendant’s records. (*Moore Decl.*, ¶11.)

c.

Community of

interest.

“The community of interest requirement involves three factors: ‘(1)

predominant common questions of law or fact; (2) class representatives with

claims or defenses typical of the class; and (3) class representatives who can

adequately represent the class.” (*Linder v. Thrifty Oil Co.* (2000) 23

Cal.4th 429, 435.)

Counsel contends that here,

commonality is met Plaintiffs alleged that Defendant's common and uniform policies and practices resulted in the following violations, involving common questions of law and fact: (1) failure to pay all minimum wages owed; (2) failure to pay all overtime wages owed; (3) failure to provide all meal periods; (4) failure to authorize and permit rest periods; (5) failure to provide accurate, itemized wage statements; (6) failure to indemnify all necessary business expenditures; (7) failure to pay all wages owed upon termination; (8) engagement in unfair competition; and (9) liability for civil penalties under PAGA. (MPA, 18:1-8.)

Counsel contends that Plaintiffs' claims are typical of those held by the members of the proposed Class because: 1) Plaintiffs were employed by Defendant during the Class Period as a non-exempt employee; 2) Plaintiffs were subject to Defendant's wage and hour policies at issue in this case; 3) Plaintiffs were allegedly injured by the same challenged policies that allegedly injured the Class as a whole; and 4) Defendant's policies and practices applied to all non-exempt employees, thus all Class Members possess a similar interest and have suffered similar alleged injuries as Plaintiffs. (MPA: 18:15-26.)

As to adequacy, Counsel contend that Plaintiffs and his counsel will adequately represent the Settlement Class, as there are no conflicts between Plaintiffs and the proposed Settlement Class, and Plaintiffs are represented by adequate counsel. (MPA: 19:5-13; Declaration of Plaintiff Ixen, passim; Declaration of Plaintiff Garcia, passim.)

d.

Adequacy of class
counsel.

As indicated above, Class Counsel has shown experience in class action litigation, including wage and hour class actions.

e.

Superiority. Given the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

5.

Is the notice proper?

1.

Content of class

notice. The proposed notice is attached to the Settlement Agreement as Exhibit A. Its content appears to be acceptable, except that the Notice must disclose the fee split and funding deadline. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

2.

Method of class

notice. Notice will be via direct mail. Not later than 15 days after the Court grants Preliminary Approval of the Settlement, Defendant will simultaneously deliver the Class Data to the Administrator, in the form of a Microsoft Excel spreadsheet. (¶4.2) Using best efforts to perform as soon as possible, and in no event later than 14 days after receiving the Class Data, the Administrator will send to all Class Members identified in the Class Data, via first-class USPS mail, the Class Notice with Spanish translation. Before mailing Class Notices, the Administrator shall update Class Member addresses using the National Change of Address database. (¶7.4.2) Not later than 3 business days after the Administrator's receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time. (¶7.4.3) If the Administrator, Defendant or Class Counsel is contacted by or otherwise discovers any persons who believe they should have been included in the Class Data and should have received Class Notice, the Parties will expeditiously meet and confer in person or by telephone, and in good faith, in an effort to agree on whether to include them as Class Members. If the Parties agree, such persons will be Class Members entitled to the same rights as other Class

Members, and the Administrator will send, via email or overnight delivery, a Class Notice requiring them to exercise options under this Agreement not later than 14 days after receipt of Class Notice, or the deadline dates in the Class Notice, whichever ever are later. (§7.4.6) Notice of Final Judgment will be posted on the Settlement Administrator's website. (§7.8.1)

3.

Cost of class

notice. As indicated above, settlement administration costs are estimated not to exceed \$9,250. Prior to the time of the final fairness hearing, the claims administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

6.

Attorney fees and costs

CRC rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees

is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22

Cal.4th 1084, 1095-1096; Ramos v.

Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) Despite any agreement by the

parties to the contrary, "the court ha[s] an independent right and

responsibility to review the attorney fee provision of the settlement agreement

and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel

is entitled to \$139,125 (35%) in

attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees.

Class counsel must provide the court with billing information so that it

can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel.

Class Counsel should also be prepared to justify the costs sought (capped at \$25,000) by detailing how they were incurred.

7.

Incentive Awards to Class Representatives

The Settlement Agreement provides for an enhancement award of up to \$7,500 to each of the named Plaintiffs for a total of \$15,000. In connection with the final fairness hearing, the named Plaintiff must submit a declaration attesting to why he should be entitled to an enhancement award in the proposed amount. The named Plaintiff must explain why he “should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.) Trial courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’ Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiff, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.) The Court will decide the issue of the enhancement awards at the time of final approval.